

Ethereum's Supply Dynamics & Monetary Thesis

Post-Merge ETH economics for crypto-native investors evaluating ETH as a monetary asset

CURRENT SUPPLY

121,603,980 ETH

BASE GAS

0.1 Gwei

historic low

ETH PRICE

\$2,243

7-DAY NET SUPPLY

+19,445.89 ETH

+0.83%/year

Thesis lens: ETH's monetary premium is structurally enabled by burn + staking, but currently constrained by exceptionally low on-chain fee activity.

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-day snapshot: issuance dominates because fee burn is near zero

CURRENT SUPPLY

121,603,980 ETH

ISSUED

+19,638.29 ETH

BURNED

192.39 ETH

OFFSET RATIO

0.01x
~1% offset

NET CHANGE

+19,445.89 ETH

Issuance vs. Burn Waterfall



Issuance

-192

Burn



Net supply

Burn offset is visually tiny: 192.39 ETH burned versus 19,638.29 ETH issued over the trailing week.

Interpretation

Supply is mildly inflationary today:
+0.83% annualized.

The EIP-1559 mechanism is intact,
but its output is fee-market
dependent.

At current activity, new issuance is
barely offset by burn.

Low gas → low burn → temporary supply inflation

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 destroys base fees, so gas price is the critical supply variable

7-Day Gas Market Range



BLOB GAS AVERAGE

7,144,934 wei

BLOB FEE BURN

0.15 ETH

\$319 over 7 days

Recent blocks burned just 0.00–0.01 ETH; the 7-day burn record was 0.07 ETH in a s

Burn Mechanics

EIP-1559 removes the base fee from circulating supply.

Higher sustained base gas increases ETH burned per transaction.

Current average gas of 0.1 Gwei keeps burn negligible.

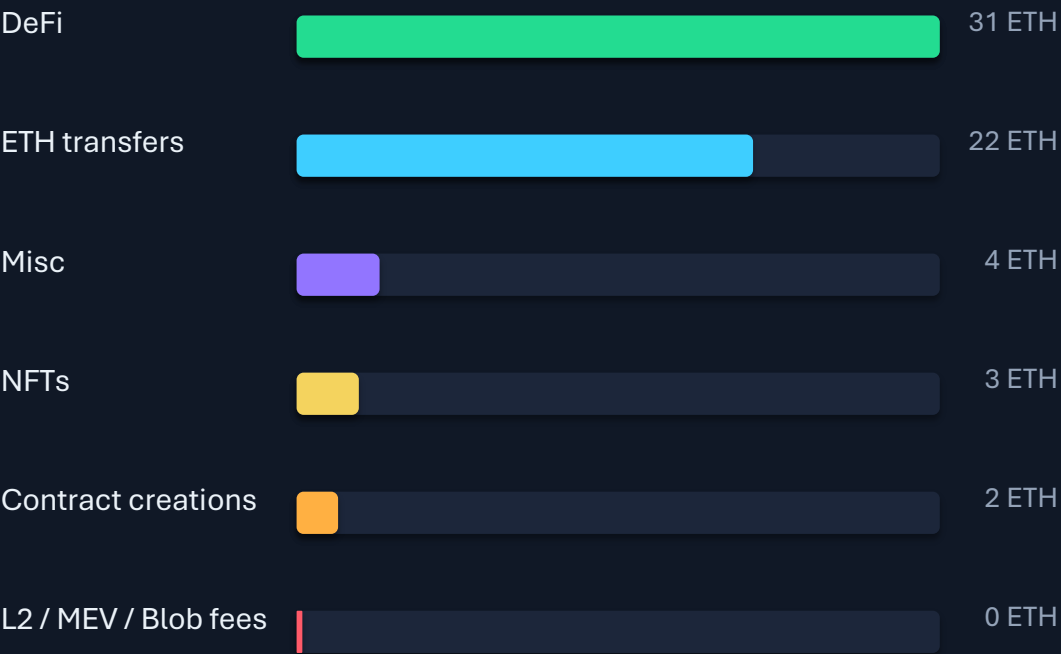
Long-term projections use 22 Gwei, not today's fee environment.

Supply implication: low activity flips ETH from deflationary potential to mild inflation.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Absolute burn is small, but activity concentration is clear

Burn by Category (ETH, 7-Day)



DeFi + ETH transfers = 53 ETH of category burn; source brief frames this as roughly 85% of weekly fee

Burn Leaderboard Entries

#1	ETH transfers	21.74 ETH
#2	Tether USDT	13.55 ETH
#3	Various DeFi contracts	listed in brief

Total 7-day burn: ~192 ETH

Read-through: burn is not distributed evenly across Ethereum activity; monetary tight

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Validator economics currently come overwhelmingly from protocol issuance

ETH STAKED

38.9M ETH

~32% of supply

SCARCITY LOCK

9.1M ETH

avg 10.7 years

ISSUANCE REWARD

0.9 ETH/validator

2.7% APR

TOTAL APR

~2.9%

CURRENT REWARDS MIX

tips + MEV 0.2%

Validator Reward Composition (APR)



■ Issuance: 2.7%

■ Tips: 0.1%

■ MEV: 0.1%

Tips and MEV are each just 0.1% APR in the current low-fee environment.

Scarcity Engine

Staking removes liquid ETH from circulation while validators earn yield.

Today's yield is issuance-led, not fee-led.

If activity recovers, fees can raise burn while staking preserves a locked supply base.

38.9M ETH staked anchors monetary credibility

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Balance

200-year projection assumes 39M ETH staked and 22 Gwei average base gas

200-Year Supply Trajectory: Anchored Projection



Projection Parameters

- 39M ETH staked
- 22 Gwei average base gas
- 2.8K ETH/day PoS issuance
- 2.2K ETH/day burn
- 1,037K ETH/year issuance-burn balance

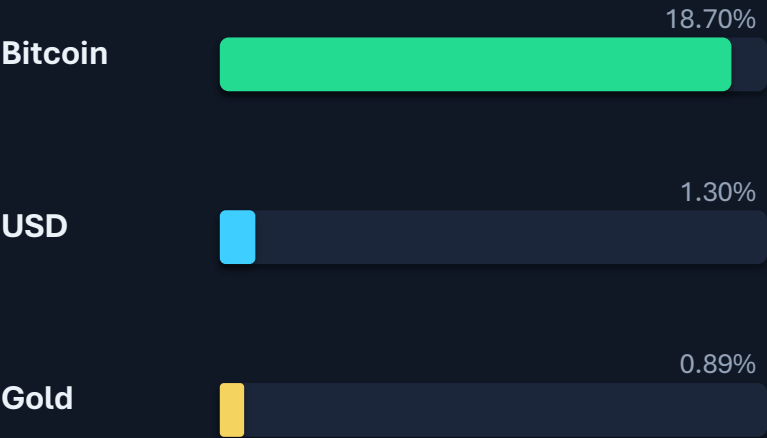
Historical Era Transitions

- Genesis: 5 ETH/block
- Byzantium: 3 ETH/block
- Constantinople: 2 ETH/block
- Phase 0 staking
- London burn introduction
- Merge: PoW removal

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Monetary premium is still early versus BTC, gold, and USD — while TVS is already material

ETH Market Cap Ratio



Flipping progress is meaningful but incomplete: ETH remains below one

Total Value Secured Breakdown



~\$307.6B Total

- ETH native: \$272.76B
- ERC20s: \$22.21B
- NFTs: \$12.66B

Top ERC20s: Dai \$4.41B, SHIB \$3.51B, Cronos \$2.97B, Tether Gold \$2.65B

Top NFTs: CryptoPunks \$2.13B, BAYC \$0.68B, ENS \$0.63B, Pudgy Penguins \$0.51B

6,000+ community members tracking these metrics

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical

Conviction requires both structural design and honest recognition of current low-activity headwinds

1

Current state

ETH is mildly inflationary at +0.83%/year because average gas is only 0.1 Gwei and

2

Burn dependency

EIP-1559 works mechanically, but sustained on-chain activity is required for mea

3

Staking lock

38.9M ETH staked, with 9.1M ETH locked for an average 10.7 years, creates a dur

4

Equilibrium path

The 125.7M ETH long-term equilibrium is structurally plausible under the 39M sta

5

Monetary premium

18.7% of Bitcoin's market cap and ~\$307.6B TVS show real, still-early monetary t

Watch gas, burn categories, staking share, and TVS as the monetary premium dashbo

Investor Framing

The ultra sound money thesis is not a claim that ETH is

**Critical variable:
fee-market recovery**